No. 17-0805

IN THE

Supreme Court of the United States

OCTOBER TERM 2019

IN RE BACKSTREETS PLOWING, INC.,
Debtor
STEVEN VIN SANT, CHAPTER 7 TRUSTEE,
Petitioner, v.
MILTON WEINBERG,
Respondent.

ON WRIT OF CERTIORARI
TO THE UNITED STATES COURT OF APPEALS FOR THE THIRTEENTH CIRCUIT

BRIEF FOR THE RESPONDENT

TEAM 50 R
COUNSEL FOR RESPONDENT

QUESTIONS PRESENTED

1. Is 11 U.S.C. 362(a)(3) violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date?
2. Does 11 U.S.C. 503(b) permit a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code?

TABLE OF CONTENTS

Contents

QUESTIONS PRESENTED i
TABLE OF AUTHORITIES iii
OPINIONS BELOW v
STATEMENT OF JURISDICTION v
CONSTITUTIONAL PROVISIONS AND STATUTES INVOLVED v
STATEMENT OF THE CASE 1
Statement of the Facts 1
Course of Proceeding 3
SUMMARY OF THE ARGUMENT 4
ARGUMENT 8
I. Section 362(a)(3) Does Not Prohibit A Secured Creditor from Passively Retaining Estate Property That Was Lawfully Repossessed Prepetition 8
A. The Snow Plow Trucks were lawfully repossessed under Article 9 of the Uniform Commercial Code. 8
B. A summary of the legal situation upon the filing of a petition for bankruptcy. 9
II. Substantial Contribution Administrative Expenses are Permitted in Chapter 7 14
CONCLUSION AND PRAYER FOR RELIEF 22
APPENDIX A 23
APPENDIX B 23
APPENDIX C 23
APPENDIX D 24
APPENDIX E 24
APPENDIX F 24
APPENDIX G 24
APPENDIX H 25
APPENDIX I 25
APPENDIX J 25
APPENDIX K 25
APPENDIX L 26
APPENDIX M 29
APPENDIX N 33

TABLE OF AUTHORITIES

UNITED STATE SUPREME COURT CASES

Asgrow Seed Co. v. Winterboer, 513 U.S. 179 (1995).....iv, 9

Bank of Marin v. Eng., 385 U.S. 99 (1966) .....iv, 17

Begier v. IRS, 496 U.S. 53 (1990).....iv, 18

Caminetti v. United States, 242 U.S. 470, 485 (1917).....iv, 9

Commodity Futures Trading Com v. Weintraub, 471 U.S. 343 (1985).....iv, 18

Conn. Nat'l Bank v. Germain, 503 U.S. 249 (1992).....iv, 4, 9

Curtis v. Loether, 415 U.S. 189 (1974).....iv, 17

Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A., 530 U.S. 1 (2000) .....iv, 13, 16

Hibbs v. Winn, 542 U.S. 88 (2004).....iv, 16

Katchen v. Landy, 382 U.S. 323 (1966).....iv, 17

NLRB v. SW Gen., Inc., 137 S.Ct. 929 (2017) .....iv, 16

United States v. Ron Pair Enters., Inc., 489 U.S. 235 (1989).....iv, 4, 9, 13

Whitman v. Am. Trucking Ass'ns, Inc., 531 U.S. 457 (2001) .....iv, 11

UNITED STATES COURT OF APPEALS CASES

City of White Plains v. A & S Galleria Real Estate, Inc. (In re Federated Dept. Stores, Inc.), 270 F.3d 994 (6th Cir.2001).....v, 18

Davis v. Tyson Prepared Foods, Inc. (In re Garcia), 740 Fed. Appx. 163 (10th Cir. 2018).....iv

In re Al Copeland Enters., 991 F.2d 233 (5th Cir. 1993); .....v, 14

In re George Worthington Co., 921 F.2d 626 (6th Cir.1990) .....v, 15

In re Swedeland Dev. Group, Inc., 16 F.3d 552, 559 (3rd Cir. 1994).....v, 6

Mediofactoring v. McDermott (In re Connolly N. Am., LLC), 802 F.3d 810 (6th Cir.2015).....v, 13, 14, 15, 16, 18

Thompson v. Gen. Motors Acceptance Corp. 566 F.3d 699 (7th Cir. 2009). .....iv, 11

United States v. Flo-Lizer, Inc. (*In re Flo-Lizer, Inc.*), 916 F.2d 363 (6th Cir. 1990) ..... v, 14

United States v. Inslaw, Inc., 932 F.2d 1467 (D.C. Cir. 1991) ..... iv, 9, 11

United States v. Ledlin (*In re Mark Anthony Constr., Inc.*), 886 F.2d 1101 (9th Cir. 1989) ..... v, 14

WD Equip., LLC v. Cowen (In re Cowen), 849 F.3d 943 (10th Cir. 2017) ..... iv, 4, 9, 10, 11

Weber v. SEFCU (In re Weber) 719 F.3d 72 (2d Cir. 2013) ..... iv, 10

UNITED STATES BANKRUPTCY APPELLATE PANELS

Mosier v. Kupetz (In re United Edn. & Software), 2005 LEXIS 3408 (B.A.P. 9th Cir. Oct. 7, 2005) ... v, 15

BANKRUPTCY COURT CASES

Denby-Peterson v. Nu2u Auto World, 2018 WL 5729907 (D.N.J. Nov. 1, 2018) v

In re Hall, 502 B.R. 650 (Bankr. D.D.C. 2014) ..... v, 4, 10

In re Maust Transport, Inc., 589 B.R. 887 (Bankr.W.D.Wash.2018) ..... v, 19

RULES AND STATUTES

U.C.C. § 9-103

U.C.C. § 9-109

U.C.C. § 9-324

U.C.C. § 9-609

U.C.C. § 9-610

11 U.S.C. § 361

11 U.S.C. § 362(a)(3)

11 U.S.C. § 363(e)

11 U.S.C. § 541

11 U.S.C. § 542(a)

11 U.S.C. § 102

11 U.S.C. § 503

11 U.S.C. § 507

28 U.S.C. § 586

OPINIONS BELOW

The Bankruptcy Court for the District of Moot's opinion is unreported, and therefore, unavailable. The Bankruptcy Appellate Panel for the Thirteenth Circuit's opinion is also unreported, and therefore, unavailable. The United States Court of Appeals for the Thirteenth Circuit's opinion, decided March 5, 2018 is unreported, but is set forth as Case No. 17-0805 and included in the Record on Appeal (hereinafter "R").

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

CONSTITUTIONAL PROVISIONS AND STATUTES INVOLVED

The following statutes and rules are relevant to the determination of the present case and are set forth in appendices A through N:

U.C.C. § 9-103
U.C.C. § 9-109
U.C.C. § 9-324
U.C.C. § 9-609
U.C.C. § 9-610
11 U.S.C. § 102
11 U.S.C. § 503
11 U.S.C. § 507
28 U.S.C. § 586
11 U.S.C. § 361
11 U.S.C. § 362(a)(3)
11 U.S.C. § 363(e)
11 U.S.C. § 541
11 U.S.C. § 542(a)

STATEMENT OF THE CASE

Statement of the Facts

In order to finance an expansion of business, Backstreets Plowing Inc. ("Backstreets") borrowed 450,000 dollars from Mr. Weinberg whose investment was secured by a first-priority purchase-money security interest in the debtor's snow plow trucks, as well as the personal guarantee of Clemons, the owner of Backstreets. (R at 4).

Clemons intentionally defaulted on payments to Mr. Weinberg starting December of 2015. (R at 5). After a series of risky business maneuvers in which Clemons underbid competitors by a substantial margin, Backstreets became unprofitable. (R at 4-5). In January of 2017, Mr. Weinberg legally repossessed the debtors snow plow trucks due to Clemon's decision to default on payments, (R at 6), and the business eventually had to file chapter 11 in order to escape its debts by February 4, 2017. (R at 6).

Backstreets, still owned and operated by Clemons, then demanded that Mr. Weinberg return the trucks that Mr. Weinberg had just paid to repossess. (R at 6). Faced with refusal, Backstreets, instead of commencing a turnover action as is customary, filed a motion to penalize Mr. Weinberg for an alleged violation of the automatic stay under section 362(a)(3) of the Bankruptcy code. (R at 6). The bankruptcy court found no violation had taken place. (R at 6).

Clemons then decided attempting to resuscitate Backstreets was pointless and voluntarily decided to convert the case from reorganization under chapter 11 to liquidation under chapter 7. (R at 7). A trustee was appointed on April 13, 2017 to administer Backstreet's bankruptcy estate and liquidate its property. (R at 7).

Weinberg hired a collection law firm, post conversion to chapter 7 to examine Clemons in May 2017 in response to Clemons' outstanding debt. (R at 7). Weinberg's creditors

examination discovered the fraudulent transfer to Clemon's daughter. (R at 7). Weinberg's voluntarily proceeded to provide the Trustee with sufficient documentation and testimony to establish that the transfers were avoidable as fraudulent transfers. (R at 7). The Trustee filed a complaint against Patti Clemons to avoid and recover the transfers under sections 548 and 550. (R at 7). A settlement was quickly reached whereby Patti Clemons agreed to pay $75,000 to the estate in satisfaction of all claims asserted in the adversary proceeding. (R at 7). Weinberg incurred $25,000 in legal fees investigating the transfers. (R at 7). The Trustee acknowledged that Weinberg had made a substantial contribution to the estate. (R at 7-8). The bankruptcy court approved Weinberg's motion, granting him an allowed administrative expense in the amount of $25,000. (R at 8).

Approximately five months later in September 2017, the trustee received an offer by another snow plowing business, Tenth Avenue, to "purchase substantially all of the Debtor's assets, including the snow plow trucks." (R at 8). Instead of commencing a turnover action, the trustee tried to negotiate with Mr. Weinberg, then upon failure, "continued prosecution of the appeal regarding Weinberg's alleged violation of the automatic stay." (R at 8).

Approximately two months later, in November 2017 Tenth Avenue withdrew its offer. In January 2018, the trustee accepted an offer by a third snow plowing business, Stone Pony, for 100,000 dollars less than Tenth Avenue's offer for the Debtor's Assets minus the trucks. The bankruptcy court "approved the sale to Stone Pony in February 2018." (R at 9).

The trustee hopes to recover the difference between the two offers by penalizing Mr. Weinberg for violation of the automatic stay provision 362(a)(3).

Course of Proceeding

Mr. Weinberg filed suit on the note in April 2016 in the State of Moot Circuit Court located in Asbury Park County. (R at 5). In October 2016, Mr. Weinberg obtained default judgement against Clemons and the debtor, jointly and severally, for 450,000 dollars. (R at 5). Debtor filed a chapter 11 petition on February 4, 2017. (R at 6). Debtor filed a motion asking the bankruptcy court to determine "Weinberg's continued retention of the vehicles constituted a violation of the automatic stay under section 362(a)(3)." (R at 6). The bankruptcy court held that it was not. Debtor timely appealed the ruling in March 2017. (R at 6). Debtor converted the chapter 11 case to a chapter 7 case on April 13, 2017. (R at 7).

The Trustee filed a complaint against Patti Clemons to avoid and recover the transfers under 548 and 550. (R at 7). Patti Clemons settled with the estate agreeing to pay $75,000 in satisfaction of all claims asserted. (R at 7). Post bankruptcy Weinberg filed a motion seeking allowance of substantial contribution administrative expense pursuant to section 503(b) in the amount of $25,000 for legal fees investigating the transfer. (R at 7). Trustee opposed motion for administrative expenses. (R at 8). Bankruptcy court approves Weinberg's motion, granting him the allowed administrative expense in the amount of $25,000. (R at 8). The Trustee proceeded to appeal timely. (R at 8).

The bankruptcy court approved a sale of the debtor's assets to Stone Pony in February 2018. (R at 9). The parties consented to consolidate both issues in front of a Bankruptcy Appellate Panel, which affirmed on both issues. (R at 9). The trustee then appealed to the Thirteenth Circuit Court of Appeals which again affirmed on both issues. Petitioner then filed a writ of certiorari, which this Court granted.

SUMMARY OF THE ARGUMENT

The first question to be examined is whether there can be a passive violation of section 362(a)(3) of the Bankruptcy Code, which prohibits "any act . . . to exercise control over property of the estate." A majority of courts believe there can be a passive violation, while a minority adhere to the idea that violation of section 362(a)(3) requires an affirmative act.

Despite the circuit split, the minority courts more faithfully adhere to the principles of statutory interpretation laid down by this Court. When the statutory language is clear, the judiciary's duty is to carry out the plain meaning of the statute. *United States v. Ron Pair Enters,* 489 U.S. 235, 241 (1989). This idea is reinforced by the Court's decision in Germain, when the "words of a statute are unambiguous, then, this first canon is also the last: 'judicial inquiry is complete.'" *Connecticut Nat'l Bank v. Germain*, 503 U.S. 249, 253-254 (1992). At the end of the statutory analysis, the statute clearly requires an affirmative act to trigger the 362(a)(3) provision.

The majority courts make a series of policy arguments, and attempt to add a self-executing caveat to the 542(a) turnover provision based on their belief that the framers intended to expand the 362(a)(3) provision to cover passive violations by including the "exercise control" language, but this is not supported in the text of the statute nor in the legislative history. *WD Equipment, LLC v. Cowen*, 849 F.3d 943, 949 (10th Cir. 2017) (Hereinafter *In re Cowen*). It is more likely that the framers intended to cover exercises of control that do not take possession of property of the estate, such as exercising control of intangible property rights. *In re Hall,* 502 B.R. 650, 665 (2014).

Mr. Weinberg legally repossessed the trucks of Backstreets prior to bankruptcy under Article 9 of the Uniform Commercial Code. His passive retention of those same trucks should

not be held to be a violation of the 362(a)(3) automatic stay provision of the Bankruptcy Code due to the statutory interpretation principles laid down by this Court which clearly show an affirmative act is required to violate the automatic stay under 362(a)(3).

The second issue before the court requires us to determine whether a party in interest can be granted priority status in regards to unsecured debt accumulated as an administrative expense for making a substantial contribution in a chapter 7 case. Generally speaking, the Bankruptcy Code contemplates that the holders of administrative expenses must be paid in full before unsecured creditors receive any distribution. 11 U.S.C.§ 507(a). At issue here is whether Weinberg is entitled to priority as an administrative expense for making a substantial contribution in this chapter 7 case.

When tasked with resolving whether a creditor who substantially contribution in a chapter 7 case is entitled to priority, we must begin with inspecting the language of the statute itself. *United States v. Ron Pair Ents.*, 489 U.S. 235, 241 (1989). Congress chose to use the not limiting word "including" when crafting 503(b), the statue that governs the compensation of administrative expenses. There is a "broad consensus that the categories listed in [the statute of 503(b)] are not exhaustive," based on the plain language and structure. *Mediofactoring*, 802 F.3d 810, 816.

When congress chose to use the "term 'including' in the opening lines of the subsection, [they] built a mechanism into § 503(b) for bankruptcy courts to reimburse expenses not specifically mentioned in § 503(b)'s subsections." *Mediofactoring*, 802 F.3d 810, 816.

The applet will argue that because section 503(b) does use the term "including," and section 503(b)(3) does not, there could be an inference that the list of administrative expenses allowable under section 503(b)(3); however, based on the use of including only in 503(b)(1)(A)

it seems to be an example of how 503(b)'s "including" should be applied throughout the section rather than a direct prescription.

An argument that applets will make is that because only chapter 9 and chapter 11 were mentioned in the statue the statute is only to apply to them. It is understood that an omission from the list of expenses does not dictate that the expense is not allowed. *In re George Worthington Co.*, 921 F.2d 626, 633 (6th Cir.1990). That "Congress was fully capable of stating that § 503(b) *excludes* reimbursement in Chapter 7 cases if that is what it actually intended the statute to do." *Cf. United States v. Murphy*, 241 F.3d 447, 456 (6th Cir. 2001).

That we were to disregard the use of "including" the statute fails to apply a term which violates the notion that when a statue is written, it is so that "that no part [of the statue] will be inoperative or superfluous, void or insignificant" for no word is added without reason. *Hibbs v. Winn*, 542 U.S. 88, 101 (2004).

Bankruptcy courts are "specialized court[s] of equity." *Curtis v. Loether*, 415 U.S. 189, 195 (1974). That "[e]quity courts have power to decree complete relief and for that purpose may accord what would otherwise be legal remedies." *Katchen v. Landy*, 382 U.S. 323, 338 (1966). However, It must be noted that while "the bankruptcy court broad has equitable powers," those "powers are not unlimited" and are to be "exercised within the confines of the Bankruptcy Code." *Architectural Bldg. Components v. McClarty (In re Foremost Mfg. Co.)*, 137 F.3d 919, 924 (6th Cir.1998).

The "[e]quality of distribution among creditors is a central policy of the Bankruptcy Code." *Begier v. IRS*, 496 U.S. 53, 58 (1990). This is in addition to maximizing the amount unsecured debtors can recover. By not paying secured creditors their administrative fees after substantial contribution. Creditors will stop taking action to the detriment of the bankruptcy

estates. *Mediofactoring*, 802 F.3d 810, 818.

Therefore it is imperative that the courts do not further limit the congress's intended purpose to allow the court is able to provide equitable relief to substantial contributors limited to being actual, necessary, and reasonable expenses determined on a case-by-case basis.

ARGUMENT

This Court applies the de novo standard of review to questions of law decided by the Thirteenth Circuit, and applies the clear error standard to the bankruptcy court's findings of fact. *See In re Swedeland Dev. Group, Inc.*, 16 F.3d 552, 559 (3rd Cir. 1994).

I. Section 362(a)(3) Does Not Prohibit A Secured Creditor from Passively Retaining Estate Property That Was Lawfully Repossessed Prepetition

A circuit split has existed since the amendment of 362(a)(3) to add the "exercise control" language. *Denby-Peterson v. Nu2u Auto World*, 2018 U.S. Dist. LEXIS 187686 at 8 (2018). A majority of courts, including the Second Circuit and Seventh Circuit, believe that it is possible to expanding the meaning of 11 U.S.C. 362(a)(3) to include passive violations of the automatic stay provision. *Id.* A minority of courts adhere to the long-held idea that violation of 362(a)(3) requires an affirmative act. *Id.*

An analysis of section 362(a)(3) by the statutory interpretation principles laid down and reinforced by the Court through decades of interpretation clarifies section 362(a)(3) does not prohibit passive retention of property that was lawfully repossessed prior to bankruptcy.

A. The Snow Plow Trucks were lawfully repossessed under Article 9 of the Uniform Commercial Code.

Article 9 of the Uniform Commercial Code governs secured transactions. The scope of this article covers "transaction[s], regardless of [] form, that create[] a security interest in personal property or fixtures by contract." U.C.C. § 9-109. Article 9 also outlines the effectiveness of a security interest and basic rights conferred by such interest (Part 2), as well as the perfection of that interest, and priority such interest is granted in relation to others (Part 3).

A purchase-money security interest is created when "an obligation" is incurred in

collateral as "part of the price of the collateral" or in exchange for "value given to enable debtor to acquire rights in or use of" such collateral. U.C.C. § 9-103. A properly "perfected purchase-money security interest" in goods has "priority over a conflicting security interest in the same goods." U.C.C. § 9-324.

Upon default, a secured party "may take possession of the collateral . . . without judicial process, if it proceeds without breach of the peace." U.C.C. § 9-609. Furthermore, "after default," a secured party "may sell, lease, license, or otherwise dispose of any or all of the collateral in its present condition or following any commercially reasonable preparation or processing." U.C.C. § 9-610.

Mr. Weinberg was granted an undisputed first-priority purchase-money security interest in the trucks under the loan agreement to secure the 450,000 dollar loan. (R at 4). Beginning December of 2015, the debtor stopped making the monthly payments required under the security contract to Mr. Weinberg and entered default under the contract. (R at 5). In January of 2017, Mr. Weinberg legally repossessed the trucks as was his right under U.C.C. § 9-609, and kept them in a warehouse, where they remain to this day.

B. A summary of the legal situation upon the filing of a petition for bankruptcy.

Upon Bankruptcy, an estate is created, "comprised of all the" debtor's property, "wherever located and by whomever held." 11 U.S.C. § 541. An automatic stay then locks into place, prohibiting a creditor from "any act to obtain possession of property of the estate or . . . to exercise control over property of the estate." 11 U.S.C. § 362(a)(3).

Section 362(a)(3) was amended in 1984 to "add the language 'or exercise control over.' The apparent purpose of the amendment was to prevent industrious plaintiffs from avoiding the prohibition on 'possessing' property by assuming control over the property." *Nu2u Auto World*,

2018 U.S. Dist LEXIS 187686 at 12.

The debtor may proceed to initiate a turnover action to force "an entity . . . in possession . . . of property that the trustee may use, sell, or lease under section 363" to "deliver to the trustee" such property unless such property is "of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a).

Section 363(e) stipulates that on request by an entity that "has an interest" in "property . . . proposed to be used, sold, or leased, by the trustee" may request that the court "prohibit or condition such use, sale or lease as is necessary to provide adequate protection of such interest." 11 U.S.C. § 363(e).

Adequate protection may be provided by "requiring a trustee to make a cash payment or periodic cash payments to such entity," or providing such entity with "a replacement lien," or "other such relief." 11 U.S.C. § 361.

When Backstreets filed for bankruptcy in February of 2017, the trucks had already been legally repossessed by Mr. Weinberg. (R at 6). At this point, Backstreets had the right to file a 542(a) turnover action to force Mr. Weinberg to return the trucks, in which case Mr. Weinberg could ask the court for adequate protection, creating a logical sequence where an adequate protection defense is used in response to a turnover action designed to take possession or control of the collateral from Mr. Weinberg. Instead of filing a 542(a) action, Backstreets almost immediately motioned the court to find that Mr. Weinberg had violated the automatic stay provision 362(a)(3), after Mr. Weinberg refused a demand by Backstreets to return the property. A statutory interpretation of 11 U.S.C. 362 reveals that an affirmative act is necessary to violate the automatic stay under provision 362(a)(3).

C. Statutory interpretation principles dictate that if the statutory language is clear,

then the analysis is complete, and the Court must enforce the plain meaning of the statute.

"The task of resolving the dispute over the meaning of" a statute "begins where all such inquiries must being: with the language of the statute itself." *Ron Pair Enters,* 489 U.S. at 241. Where the "statutory language is plain, 'the sole function of the courts is to enforce it according to its terms.'" *Id.* (quoting *Caminetti v. United States,* 242 U.S. 470, 485 (1917)).

In "interpreting a statute a court should always turn first to one, cardinal canon before all others. We have stated time and again that courts must presume that a legislature says in a statute what it means and means in a statute what it says there." *Germain,* 503 U.S. at 253-254. When the "words of a statute are unambiguous, then, this first canon is also the last: 'judicial inquiry is complete.'" *Id.*

11 U.S.C. 362(a)(3) states that a bankruptcy petition, "operates as a stay . . . of . . . any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." *In re Cowen,* 849 F.3d at 949. "The statutory language makes clear that the stay applies only to acts taken after the petition is filed." *United States v. Inslaw, Inc.,* 932 F.2d 1467, 1474 (D.C. Cir. 1991). Breaking down the sentence, "'any act' is the prepositive modifier of both infinitive phrases. In other words, § 362(a)(3) prohibits 'any act to obtain possession of the property' or 'any act to exercise control over property.'" *Id.*

If words are not explicitly defined in the statute, "we give them their ordinary meaning." *Asgrow Seed Co. v. Winterboer,* 513 U.S. 179, 188 (1995). An "act" is defined as "the process of doing something or performing." (Black's Law Dictionary 27 9th ed. 2009). An "act" commonly "means to 'take action' or 'do something.'" *In re Cowen,* 849 F.3d at 949 (quoting New Oxford American Dictionary 15 (3rd ed. 2010) (primary definition of "act")). The automatic stay, "as its

name suggests, serves as a restraint only on acts to gain possession or control over property of the estate." *Id.* (quoting Inslaw). "Stay means stay, not go." *Id.* Unfortunately, several of the majority decisions seem to forego any analysis of the word "act" and focus entirely on the meaning implied by the addition of the word "exercise." *See In re Hall*, 502 B.R. 650 (2014).

The majority of circuit courts seem to unduly emphasize the legislative purpose behind the 1984 amendments, which "broadened the already sweeping provisions of the automatic stay even further to prohibit expressly not only 'acts to obtain possession' of property of the estate, but also 'any act . . . to exercise control over property of the estate." *In re Cowen*, 849 F.3d at 949 (quoting *Weber v. SEFCU*, 719 F.3d 72, 80 (2nd Cir. 2013)) Notwithstanding that 'Congress did not provide an explanation of that amendment,' the majority divines the intent behind the expansion to prohibit passive retention of legally repossessed property. *Id.* An observation that is simply unsupported in the text. It is more likely that the framers intended to cover exercises of control that do not take possession of property of the estate, such as:

> exercising control of intangible property rights that belong to the estate, such as contract rights or causes of action. These rights are incapable of real possession unless they are reified. Yet, (a)(3) preserves and guards against interference with them by staying any act to exercise control over estate property.

In re Hall, 502 B.R. 650, 665 (2014).

Other arguments by the majority link sections 362(a)(3) the automatic stay provision and 542(a) the turnover provision, claiming 542(a) is a self-effectuating provision which states that creditors "'*shall* deliver' such property to the trustee 'unless such property is of inconsequential value or benefit to the estate" or be subject to a 362(a)(3) violation. *Id.* at 950. Unfortunately,

542(a)'s self-effectuation is simply "not supported by the statute's text or its legislative history," nor is there any textual link between sections 362 and 542(a), as there is between sections 542(a) and 363. *Id.*

Certain arguments focus on policy, stating that "'[t]he primary goal or reorganization bankruptcy is to group all of the debtor's property together in his estate such that he may rehabilitate his credit and pay off his debts," *Thompson v. Gen. Motors Acceptance Corp.* 566 F.3d 699, 702 (7th Cir. 2009), and interpreting 542(a) as self-effectuating would aid in reorganization efforts. However, a 542(a) motion was always available to force a creditor to give up collateral, while "[t]he object of the automatic stay provision is essentially to solve a collective action problem - to make sure that creditors do not destroy the bankrupt estate in their scramble for relief." *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1473 (D.C. Cir. 1991). The automatic stay forces creditors to go through the bankruptcy courts, and it is far more organized for debtors to be forced to do the same unless such rights are explicitly authorized by the language of the statute.

The final canon, Congress does not "hide elephants in mouseholes." *Whitman v. Am. Trucking Ass'ns, Inc.*, 531 U.S. 457, 468 (2001). If Congress had meant to make section 542(a) self effectuating, they would have explicitly done so. *In re Cowen*, 849 F.3d at 950.

The Thirteenth Circuit followed statutory interpretations principles laid down by this Court to find Congress meant what it said in the statute, and only what it said in the statute. The United States Court of Appeals found that individual policy concerns of judges should not override the words of Congress when they clearly determined violation of provision 362(a)(3) required an "act . . . to exercise control" over the property of the estate. 11 U.S.C. 362(a)(3). Judges should not ignore inconvenient sections of the statute or extrapolate the meaning of words

to an extraordinary degree, but read the plain meaning within the words as the framers intended unless explicitly defined elsewhere in the statute, a term of art, or clearly shown in the legislative history.

Mr. Weinberg relied on Backstreets to keep their word and repay the loan. Not only did Backstreets default on its promise, after it filed for bankruptcy, Backstreets refused to file a turnover action for nearly a year, through a conversion from Chapter 11 to Chapter 7, until it had to accept an offer for the debtor's assets which was substantially less than what it could have gotten if it had followed proper procedure.

Mr. Weinberg, the bankruptcy court, the bankruptcy appellate panel, and the Thirteenth Circuit Court of Appeals for the United States of America as well as the Tenth and D.C. Circuits read the text of the statute to mean exactly what it said. 362(a)(3) prohibits "any act . . . to exercise control over property of the estate." Utilizing the canons of statutory interpretation laid down by this Court, and understood by Congress, 362(a)(3) only prohibits affirmative actions to exercise control over property of Backstreets.

II. Substantial Contribution Administrative Expenses are Permitted in Chapter 7

The second issue before the court requires us to determine whether a party in interest can be granted priority status in regards to unsecured debt accumulated as an administrative expense for making a substantial contribution in a chapter 7 case. Generally speaking, the Bankruptcy Code contemplates that the holders of administrative expenses must be paid in full before unsecured creditors receive any distribution. 11 U.S.C.§ 507(a). At issue here is whether Weinberg is entitled to priority as an administrative expense for making a substantial contribution in this chapter 7 case.

When tasked with resolving whether a creditor who substantially contribution in a

chapter 7 case is entitled to priority, we must begin with inspecting the language of the statute itself. *United States v. Ron Pair Ents.*, 489 U.S. 235, 241 (1989). Section 503(b) contains a non-exclusive list of specific categories of expenses that shall be allowed as administrative expenses. The non-exclusive nature of this list is made apparent by the inclusion of the word "including" in at the end of section 503(b), which articulates: "After notice and a hearing, there shall be allowed, administrative expenses . . . ***including*** - . . ." 11 U.S.C. § 503(b) (emphasis added). One of the considerations the drafters of the statute believed to worth noting were persons who made a substantial contribution to the bankruptcy estate. Specifically that, section 503(b)(3)(D) allows an administrative expense for "the actual, necessary expenses . . . incurred by . . . a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title." Through out the §503 statue there is no mention of other chapters of the Bankruptcy Code other than chapter 9 or 11.

In this case, the parties do not dispute that Weinberg made a substantial contribution to the bankruptcy estate. Rather, the only dispute is whether the court can grant an administrative expense for such substantial contribution in a chapter 7 case. In order to accurately decipher the legislature's intent we must ask why the statue was written this particular way, analyze the statutory language, and how this intended meaning could affect the bankruptcy system given principles driving the bankruptcy code.

It is imperative to first look to the statutory language. In the bankruptcy jurisdiction **"**statutory language is the keystone on which all other analysis relies." *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 815 (6th Cir.2015). That if the language used in the statue is clear then we can take what the statue says as congresses intended meaning. *Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A.*, 530 U.S. 1, 6 (2000). And if "'the

statute's language is plain, 'the sole function of the courts' is to enforce [the statute] according to its terms." *Id.*

There is a "broad consensus that the categories listed in [the statute of 503(b)] are not exhaustive," based on the plain language and structure. *Mediofactoring*, 802 F.3d 810, 816; *In re Al Copeland Enters.*, 991 F.2d 233, 239 (5th Cir. 1993); *United States v. Ledlin* (*In re Mark Anthony Constr., Inc.*), 886 F.2d 1101, 1106 (9th Cir. 1989). The bankruptcy code definition section proclaiming that under "§ 102(3) the terms "'includes' and 'including' are not limiting," further illustrates an expansive reading of the bankruptcy code. *United States v. Flo-Lizer, Inc.* (*In re Flo-Lizer, Inc.*), 916 F.2d 363, 365 (6th Cir. 1990).

The structure of the statue and placement of specific words indicates that congress intended an expansive flexible application. When congress chose to use the "term 'including' in the opening lines of the subsection, [they] built a mechanism into § 503(b) for bankruptcy courts to reimburse expenses not specifically mentioned in § 503(b)'s subsections." *Mediofactoring*, 802 F.3d 810, 816. It can be inferred that congress intended these results as a way for the bankruptcy courts to administer just results on a "on a case-by-case basis depending on the specific facts of the case" after determining if "expenses at issue were actual, necessary, and reasonable." *Id.*

The applet will argue that because section 503(b) does use the term "including," and section 503(b)(3) does not, there could be an inference that the list of administrative expenses allowable under section 503(b)(3) is exhaustive in 503(b)(3). That when you compare 11 U.S.C. § 503(b)(3)(A)-(F); *compare* 11 U.S.C. § 503(b)(1)(A) uses the term "including" while 11 U.S.C. § 503(b)(3) omitted the term "including". That when applying "expressio unius est exclusio alterius," a court infers an "intention to restrict the statute's application to the

specific listed examples." *Mosier v. Kupetz (In re United Edn. & Software)*, 2005 LEXIS 3408, at *19 (B.A.P. 9th Cir. Oct. 7, 2005). However, when we examine all of 503(b)(1)-(9) only the first subsection 503(b)(1)(A) includes the term "including" which would indicate it wasn't meant to limit applying "including" to that section but to be an example of how 503(b)'s "including" should be applied throughout the section. It would make no sense for a term defined in 102(3) as "not limiting" to be used to limit the statute. Alternatively they could have used a limiting term or exhaustive term but there was none use. That "Congress was fully capable of stating that § 503(b) *excludes* reimbursement in Chapter 7 cases if that is what it actually intended the statute to do." *Cf. United States v. Murphy*, 241 F.3d 447, 456 (6th Cir. 2001).

An argument that applets will make is that because only chapter 9 and chapter 11 were mentioned in the statue the statute is only to apply to them. That there was no mention of chapter 7 and therefore congress had no intention for the status's application of administrative expenses to chapter 7 cases. However,

> "Nowhere does the Act say, 'expenses incurred by a creditor in securing the removal of a Chapter 7 trustee are not allowable'; or, 'expenses incurred in making a substantial contribution in a case under Chapters 9 or 11, but not Chapter 7, may be allowed'; or, 'only the enumerated expenses shall be allowed.'"

Mediofactoring, 802 F.3d 810, 816. It is understood that an omission from the list of expenses does not dictate that the expense is not allowed. *In re George Worthington Co.*, 921 F.2d 626, 633 (6th Cir.1990).

The applet will argue that congress's choice to mention chapter 9 and chapter 11 was

intended to exclude other bankruptcy chapter filings. Additionally, the that inclusion of the "contribution in a case under chapter 9 and 11 in § 503 (b)(3)(D) negates the meaning of 'including' in the introductory provision of § 503(b)" deny the courts the ability to allow administrative incurred by a Chapter 7 creditor who substantially contributed to the debtor's estate. *Mediofactoring,* 802 F.3d 810, 815-816. This interpretation of the statute fails to apply "including" which violates the notion that when a statue is written, it is so that "that no part [of the statue] will be inoperative or superfluous, void or insignificant" for no word is added without reason. *Hibbs v. Winn*, 542 U.S. 88, 101 (2004). Thereby, the only way the subsections 503(b) do not violate the section is that the subsections were written to provide framework and a contextual basis of how to dispense administrative expenses in more common situations. *Mediofactoring,* 802 F.3d 810, 815-816. These subsections are more like "guidelines" than actual rules. A better analysis of the reason congress chose to mention chapter 9 and chapter 11 were to provide examples what administrative expenses are allowed. The reason congress choose to list chapter 9 and 11 is that under these filings a creditor is more willing to "spend its own time and resources to benefit the estate." *Id.* at 17.

Applet will also argue that congress was aware of chapter 7 filing and choose not to add it. That this was a conscious consideration of congress to limit application. Congress "says in a statute what it means and means in a statute what it says there." *Hartford Underwriters Ins. Co.*, 530 U.S. 1, 6. That inferring anything beyond what is expressly written would be going too far. That the "*expressio unius est exclusio alterius*, 'expressing one item of [an] associated group or series excludes another left unmentioned.'" *NLRB v. SW Gen., Inc.*, ___U.S.___, 137 S.Ct. 929, 940 (2017). However, congress also choose to use "or" instead of "either or" when referring to the two different filings 503(b)(3)(D).

Congress's intent to allow bankruptcy courts to permit certain actual and necessary expenses is further established with congress's construct choice on defining the other bankruptcy terms as not limited such as additionally the use of "or". Under statute 102(5) "or" is explained to be not exclusive. This further strengthens the case that reimbursement of chapter 7 administrative expenses are allowed under 503(b)(3)(D) being that the statute contains "under chapter 9 or 11" indicating that not even a read into the subsections does not preclude or exclude a chapter 7 filing. The choice of "or" is another example of how 503(b)'s subsections are meant to be expansive within the limits that the administrative expenses are actual, necessary, and reasonable. Congress could have chosen to use "either or" instead of "or" to limit the scope but did not. In fact, congress does not expressly preclude a bankruptcy court from using its discretion to award a substantial contribution administrative expense in chapter 7 cases based on the statutory language of section 503(b).

In the bankruptcy jurisdiction there is "an overriding consideration that equitable principles govern" the exercise of the court's practice. *Bank of Marin v. Eng.*, 385 U.S. 99, 103 (1966). Bankruptcy courts are "specialized court[s] of equity." *Curtis v. Loether*, 415 U.S. 189, 195 (1974). That "[e]quity courts have power to decree complete relief and for that purpose may accord what would otherwise be legal remedies." *Katchen v. Landy*, 382 U.S. 323, 338 (1966). However, It must be noted that while "the bankruptcy court broad has equitable powers," those "powers are not unlimited" and are to be "exercised within the confines of the Bankruptcy Code." *Architectural Bldg. Components v. McClarty (In re Foremost Mfg. Co.)*, 137 F.3d 919, 924 (6th Cir.1998).

The Bankruptcy system is designed to not only give debtors a fresh start but also achieve a fair and just result for creditors. This "[e]quality of distribution among creditors is a central

policy of the Bankruptcy Code." *Begier v. IRS*, 496 U.S. 53, 58 (1990). As a way to achieve these equitable results for creditors the bankruptcy system employs trustees who "monitoring the progress of cases under title 11 and taking such actions" administer the estate thereby acting as a guard dog. 28 U.S.C. 586. They are also tasked with a **"**duty to maximize the value of the estate." *Commodity Futures Trading Com v. Weintraub*, 471 U.S. 343, 352 (1985). When a trustee mismanages an estate the creditors may file a motion to remove the trustee. 28 U.S.C. 586(a)(1). With a bankruptcy case being administered by a trustee there is rarely a reason for creditor to substantial contribute but the need may arise.

The case at bar is a rare case and the trustee acknowledges that Weinberg made a substantial contribution to the chapter 7 estate. (R at 8). The applet fraudulently transferred approximately $100,000 out of the estate to his daughter prior to filing bankruptcy. (R at 7). Where the respondent choose to invest their own money in a debt collection law firm to attempt to acquire unknown assets fraudulently hidden from the estate. (R at 7). It is understood that "Claims for administrative expenses under § 503(b) are [to be] strictly construed because priority claims reduce the funds available for creditors and other claimants." *City of White Plains v. A & S Galleria Real Estate, Inc. (In re Federated Dept. Stores, Inc.)*, 270 F.3d 994, 1000 (6th Cir.2001). However, by not paying for creditor's professional legal expenses accrued as a result of "tak[ing] action that benefits the [bankruptcy] estate when no other party is willing or able to do so," would deter them from participating in bankruptcy cases and proceedings, which is plainly inconsistent with the purposes of the Act. *Mediofactoring*, 802 F.3d 810, 818. This result would lead to a lower maximum value leading to lesser amounts being distributed to unsecured creditors. Such efforts, that result in settlements of fraudulent transfer claims should be rewarded as they increase the pool of funds available for unsecured creditors even after

creditor's costs for administrative expenses have been paid. "If the particular facts of a case warrant reimbursement, the court should have the ability to fashion a remedy that will foster rather than hinder such actions for the benefit of the estate." *In re Maust Transport, Inc.*, 589 B.R. 887, 898-899 (Bankr.W.D.Wash.2018).

While the bankruptcy court does not have unlimited discretion and application of rules in order to ensure equitable results; the court is able to provide equitable relief to substantial contribution administrative expenses in Chapter 7 bankruptcy cases under the 503(b) statute limited to being actual, necessary, and reasonable expenses determined on a case-by-case basis.

CONCLUSION AND PRAYER FOR RELIEF

For the foregoing reasons, Milton Weinberg, respectfully requests that this Court affirm the Thirteenth Circuit Court of Appeals and hold that (1) passively holding onto legally repossessed collateral does not violate the automatic stay provision 362(a)(3); and (2) 11 U.S.C. 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code. Therefore, Respondent respectfully requests that this Court affirm the judgment of the United States Court of Appeals for the Thirteenth Circuit.

APPENDIX A

U.C.C. § 9-103 Purchase-money security interest; Application of payments; burden of establishing.

(a) [Definitions.]

In this section:

(1) "purchase-money collateral" means goods or software that secures a purchase-money obligation incurred with respect to that collateral; and

(2) "purchase-money obligation" means an obligation of an obligor incurred as all or part of the price of the collateral or for value given to enable the debtor to acquire rights in or the use of the collateral if the value is in fact so used.

(b) [Purchase-money security interest in goods.]

A security interest in goods is a purchase-money security interest:

(1) to the extent that the goods are purchase-money collateral with respect to that security interest;

(2) if the security interest is in inventory that is or was purchase-money collateral, also to the extent that the security interest secures a purchase- money obligation incurred with respect to other inventory in which the secured party holds or held a purchase-money security interest; and

(3) also to the extent that the security interest secures a purchase-money obligation incurred with respect to software in which the secured party holds or held a purchase-money security interest.

. . .

APPENDIX B

U.C.C. § 9-109 Scope.

(a) [General scope of article.]

Except as otherwise provided in subsections (c) and (d), this article applies to:

(1) a transaction, regardless of its form, that creates a security interest in personal property or fixtures by contract;

(2) an agricultural lien;

(3) a sale of accounts, chattel paper, payment intangibles, or promissory notes;

(4) a consignment;

(5) a security interest arising under Section 2-401, 2-505, 2-711(3), or 2A-508(5), as provided in Section 9-110; and

(6) a security interest arising under Section 4-210 or 5-118.

. . .

APPENDIX C

U.C.C. § 9-324. Priority of purchase-money security interests.

(a) [General rule: purchase-money priority.]

Except as otherwise provided in subsection (g), a perfected purchase-money security interest in goods other than inventory or livestock has priority over a conflicting security interest in the same goods, and, except as otherwise provided in Section 9-327, a perfected security interest in its identifiable proceeds also has priority, if the purchase-money security interest is perfected when the debtor receives possession of the collateral or within 20 days thereafter.

. . .

APPENDIX D

U.C.C. § 9-609. Secured Party's right to take possession after default.

(a) [Possession; rendering equipment unusable; disposition on debtor's premises.]
After default, a secured party:
(1) may take possession of the collateral; and
(2) without removal, may render equipment unusable and dispose of collateral on a debtor's premises under Section 9-610.
(b) [Judicial and nonjudicial process.]
A secured party may proceed under subsection (a):
(1) pursuant to judicial process; or
(2) without judicial process, if it proceeds without breach of the peace.
…

APPENDIX E

§ 9-610. Disposition of collateral after default.

(a) [Disposition after default.]
After default, a secured party may sell, lease, license, or otherwise dispose of any or all of the collateral in its present condition or following any commercially reasonable preparation or processing.
(b) [Commercially reasonable disposition.]
Every aspect of a disposition of collateral, including the method, manner, time, place, and other terms, must be commercially reasonable. If commercially reasonable, a secured party may dispose of collateral by public or private proceedings, by one or more contracts, as a unit or in parcels, and at any time and place and on any terms.
. . .

APPENDIX F

11 U.S. Code § 361 - Adequate protection

When adequate protection is required under section 362, 363, or 364 of this title of an interest of an entity in property, such adequate protection may be provided by—
(1)
requiring the trustee to make a cash payment or periodic cash payments to such entity, to the extent that the stay under section 362 of this title, use, sale, or lease under section 363 of this title, or any grant of a lien under section 364 of this title results in a decrease in the value of such entity's interest in such property;
(2)
providing to such entity an additional or replacementlien to the extent that such stay, use, sale, lease, or grant results in a decrease in the value of such entity's interest in such property; or
(3)
granting such other relief, other than entitling such entity to compensation allowable under section 503(b)(1) of this title as an administrative expense, as will result in the realization by such entity of the indubitable equivalent of such entity's interest in such property.

APPENDIX G

11 U.S. Code § 362 - Automatic stay

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor

Protection Act of 1970, operates as a stay, applicable to all entities, of—

(1)

the commencement or continuation, including the issuance or employment of process, of a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title;

(2)

the enforcement, against the debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;

(3)

any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

…

APPENDIX H

11 U.S. Code § 363 - Use, sale, or lease of property

. . .

(e)

Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

. . .

APPENDIX I

11 U.S. Code § 541 - Property of the estate

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1)

Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

. . .

APPENDIX J

11 U.S. Code § 542 - Turnover of property to the estate

(a)

Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

…

APPENDIX K

11 U.S.C. § 102. Rules of construction

In this title--

(1) "after notice and a hearing", or a similar phrase--

(A) means after such notice as is appropriate in the particular circumstances, and such opportunity for a hearing as is appropriate in the particular circumstances; but

(B) authorizes an act without an actual hearing if such notice is given properly and if--

(i) such a hearing is not requested timely by a party in interest; or

(ii) there is insufficient time for a hearing to be commenced before such act must be done, and the court authorizes such act;

(2) "claim against the debtor" includes claim against property of the debtor;

(3) "includes" and "including" are not limiting;

(4) "may not" is prohibitive, and not permissive;

(5) "or" is not exclusive;

(6) "order for relief" means entry of an order for relief;

(7) the singular includes the plural;

(8) a definition, contained in a section of this title that refers to another section of this title, does not, for the purpose of such reference, affect the meaning of a term used in such other section; and

(9) "United States trustee" includes a designee of the United States trustee.

APPENDIX L

11 U.S.C. § 503. Allowance of administrative expenses

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.

(b) After notice and a hearing, there shall be allowed, administrative expenses, other than claims allowed under section 502(f) of this title [11 USCS § 502(f)], including--

(1) (A) the actual, necessary costs and expenses of preserving the estate including--

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the

National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(B) any tax--

(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title [11 USCS § 507(a)(8)]; or

(ii) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

(D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

(2) compensation and reimbursement awarded under section 330(a) of this title [11 USCS § 330(a)];

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

(A) a creditor that files a petition under section 303 of this title [11 USCS § 303];

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title [11 USCS § 1102], in making a substantial contribution in a case under chapter 9 or 11 of this title [11 USCS §§ 901 et seq. or 1101 et seq.];

(E) a custodian superseded under section 543 of this title [11 USCS § 543], and compensation for the services of such custodian; or

(F) a member of a committee appointed under section 1102 of this title [11 USCS § 1102], if such expenses are incurred in the performance of the duties of such committee;

(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

(5) reasonable compensation for services rendered by an indenture trustee in making a substantial contribution in a case under chapter 9 or 11 of this title [11 USCS §§ 901 et seq.; 1101 et seq.], based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title;

(6) the fees and mileage payable under chapter 119 of title 28 [28 USCS §§ 1821 et seq.];

(7) with respect to a nonresidential real property lease previously assumed under section 365 [11 USCS § 365], and subsequently rejected, a sum equal to all monetary obligations due, excluding those arising from or relating to a failure to operate or a penalty provision, for the period of 2 years following the later of the rejection date or the date of actual turnover of the premises, without reduction or setoff for any reason whatsoever except for sums actually received or to be received from an entity other than the debtor, and the claim for remaining sums due for the balance of the term of the lease shall be a claim under section 502(b)(6) [11 USCS § 502(b)(6)];

(8) the actual, necessary costs and expenses of closing a health care business incurred by a trustee or by a Federal agency (as defined in section 551(1) of title 5 [5 USCS § 551(1)]) or a department or agency of a State or political subdivision thereof, including any cost or expense incurred--

(A) in disposing of patient records in accordance with section 351 [11 USCS § 351]; or

(B) in connection with transferring patients from the health care business that is in the process of being closed to another health care business; and

(9) the value of any goods received by the debtor within 20 days before the date of commencement of a case under this title in which the goods have been sold to the debtor in the ordinary course of such debtor's business.

(c) Notwithstanding subsection (b), there shall neither be allowed, nor paid--

(1) a transfer made to, or an obligation incurred for the benefit of, an insider of the debtor for the purpose of inducing such person to remain with the debtor's business, absent a finding by the court based on evidence in the record that--

(A) the transfer or obligation is essential to retention of the person because the individual has a

bona fide job offer from another business at the same or greater rate of compensation;

(B) the services provided by the person are essential to the survival of the business; and

(C) either--

(i) the amount of the transfer made to, or obligation incurred for the benefit of, the person is not greater than an amount equal to 10 times the amount of the mean transfer or obligation of a similar kind given to nonmanagement employees for any purpose during the calendar year in which the transfer is made or the obligation is incurred; or

(ii) if no such similar transfers were made to, or obligations were incurred for the benefit of, such nonmanagement employees during such calendar year, the amount of the transfer or obligation is not greater than an amount equal to 25 percent of the amount of any similar transfer or obligation made to or incurred for the benefit of such insider for any purpose during the calendar year before the year in which such transfer is made or obligation is incurred;

(2) a severance payment to an insider of the debtor, unless--

(A) the payment is part of a program that is generally applicable to all full-time employees; and

(B) the amount of the payment is not greater than 10 times the amount of the mean severance pay given to nonmanagement employees during the calendar year in which the payment is made; or

(3) other transfers or obligations that are outside the ordinary course of business and not justified by the facts and circumstances of the case, including transfers made to, or obligations incurred for the benefit of, officers, managers, or consultants hired after the date of the filing of the petition.

APPENDIX M

11 U.S.C. § 507. Priorities

(a) The following expenses and claims have priority in the following order:

(1) First:

(A) Allowed unsecured claims for domestic support obligations that, as of the date of the filing of the petition in a case under this title, are owed to or recoverable by a spouse, former spouse, or child of the debtor, or such child's parent, legal guardian, or responsible relative, without regard to whether the claim is filed by such person or is filed by a governmental unit on behalf of such person, on the condition that funds received under this paragraph by a governmental unit under this title after the date of the filing of the petition shall be applied and distributed in accordance with applicable nonbankruptcy law.

(B) Subject to claims under subparagraph (A), allowed unsecured claims for domestic support

obligations that, as of the date of the filing of the petition, are assigned by a spouse, former spouse, child of the debtor, or such child's parent, legal guardian, or responsible relative to a governmental unit (unless such obligation is assigned voluntarily by the spouse, former spouse, child, parent, legal guardian, or responsible relative of the child for the purpose of collecting the debt) or are owed directly to or recoverable by a governmental unit under applicable nonbankruptcy law, on the condition that funds received under this paragraph by a governmental unit under this title after the date of the filing of the petition be applied and distributed in accordance with applicable nonbankruptcy law.

(C) If a trustee is appointed or elected under section 701, 702, 703, 1104, 1202, or 1302 [11 USCS § 701, 702, 703, 1104, 1202, or 1302], the administrative expenses of the trustee allowed under paragraphs (1)(A), (2), and (6) of section 503(b) [11 USCS § 503(b)] shall be paid before payment of claims under subparagraphs (A) and (B), to the extent that the trustee administers assets that are otherwise available for the payment of such claims.

(2) Second, administrative expenses allowed under section 503(b) of this title [11 USCS § 503(b)], unsecured claims of any Federal reserve bank related to loans made through programs or facilities authorized under section 13(3) of the Federal Reserve Act (12 U.S.C. 343), and any fees and charges assessed against the estate under chapter 123 of title 28 [28 USCS §§ 1911 et seq.].

(3) Third, unsecured claims allowed under section 502(f) of this title [11 USCS § 502(f)].

(4) Fourth, allowed unsecured claims, but only to the extent of $ 12,850 for each individual or corporation, as the case may be, earned within 180 days before the date of the filing of the petition or the date of the cessation of the debtor's business, whichever occurs first, for--

(A) wages, salaries, or commissions, including vacation, severance, and sick leave pay earned by an individual; or

(B) sales commissions earned by an individual or by a corporation with only 1 employee, acting as an independent contractor in the sale of goods or services for the debtor in the ordinary course of the debtor's business if, and only if, during the 12 months preceding that date, at least 75 percent of the amount that the individual or corporation earned by acting as an independent contractor in the sale of goods or services was earned from the debtor.

(5) Fifth, allowed unsecured claims for contributions to an employee benefit plan--

(A) arising from services rendered within 180 days before the date of the filing of the petition or the date of the cessation of the debtor's business, whichever occurs first; but only

(B) for each such plan, to the extent of--

(i) the number of employees covered by each such plan multiplied by $ 12,850; less

(ii) the aggregate amount paid to such employees under paragraph (4) of this subsection, plus

the aggregate amount paid by the estate on behalf of such employees to any other employee benefit plan.

(6) Sixth, allowed unsecured claims of persons--

(A) engaged in the production or raising of grain, as defined in section 557(b) of this title [11 USCS § 557(b)], against a debtor who owns or operates a grain storage facility, as defined in section 557(b) of this title [11 USCS § 557(b)], for grain or the proceeds of grain, or

(B) engaged as a United States fisherman against a debtor who has acquired fish or fish produce from a fisherman through a sale or conversion, and who is engaged in operating a fish produce storage or processing facility--
but only to the extent of $ 6,325 for each such individual.

(7) Seventh, allowed unsecured claims of individuals, to the extent of $ 2,850 for each such individual, arising from the deposit, before the commencement of the case, of money in connection with the purchase, lease, or rental of property, or the purchase of services, for the personal, family, or household use of such individuals, that were not delivered or provided.

(8) Eighth, allowed unsecured claims of governmental units, only to the extent that such claims are for--

(A) a tax on or measured by income or gross receipts for a taxable year ending on or before the date of the filing of the petition--

(i) for which a return, if required, is last due, including extensions, after three years before the date of the filing of the petition;

(ii) assessed within 240 days before the date of the filing of the petition, exclusive of--

(I) any time during which an offer in compromise with respect to that tax was pending or in effect during that 240-day period, plus 30 days; and

(II) any time during which a stay of proceedings against collections was in effect in a prior case under this title during that 240-day period, plus 90 days; or

(iii) other than a tax of a kind specified in section 523(a)(1)(B) or 523(a)(1)(C) of this title [11 USCS § 523(a)(1)(B) or 523(a)(1)(C)], not assessed before, but assessable, under applicable law or by agreement, after, the commencement of the case;

(B) a property tax incurred before the commencement of the case and last payable without penalty after one year before the date of the filing of the petition;

(C) a tax required to be collected or withheld and for which the debtor is liable in whatever capacity;

(D) an employment tax on a wage, salary, or commission of a kind specified in paragraph (4) of this subsection earned from the debtor before the date of the filing of the petition, whether or not actually paid before such date, for which a return is last due, under applicable law or under any extension, after three years before the date of the filing of the petition;

(E) an excise tax on--

(i) a transaction occurring before the date of the filing of the petition for which a return, if required, is last due, under applicable law or under any extension, after three years before the date of the filing of the petition; or

(ii) if a return is not required, a transaction occurring during the three years immediately preceding the date of the filing of the petition;

(F) a customs duty arising out of the importation of merchandise--

(i) entered for consumption within one year before the date of the filing of the petition;

(ii) covered by an entry liquidated or reliquidated within one year before the date of the filing of the petition; or

(iii) entered for consumption within four years before the date of the filing of the petition but unliquidated on such date, if the Secretary of the Treasury certifies that failure to liquidate such entry was due to an investigation pending on such date into assessment of antidumping or countervailing duties or fraud, or if information needed for the proper appraisement or classification of such merchandise was not available to the appropriate customs officer before such date; or

(G) a penalty related to a claim of a kind specified in this paragraph and in compensation for actual pecuniary loss.

An otherwise applicable time period specified in this paragraph shall be suspended for any period during which a governmental unit is prohibited under applicable nonbankruptcy law from collecting a tax as a result of a request by the debtor for a hearing and an appeal of any collection action taken or proposed against the debtor, plus 90 days; plus any time during which the stay of proceedings was in effect in a prior case under this title or during which collection was precluded by the existence of 1 or more confirmed plans under this title, plus 90 days.

(9) Ninth, allowed unsecured claims based upon any commitment by the debtor to a Federal depository institutions regulatory agency (or predecessor to such agency) to maintain the capital of an insured depository institution.

(10) Tenth, allowed claims for death or personal injury resulting from the operation of a motor vehicle or vessel if such operation was unlawful because the debtor was intoxicated from using alcohol, a drug, or another substance.

(b) If the trustee, under section 362, 363, or 364 of this title [11 USCS § 362, 363, or 364],

provides adequate protection of the interest of a holder of a claim secured by a lien on property of the debtor and if, notwithstanding such protection, such creditor has a claim allowable under subsection (a)(2) of this section arising from the stay of action against such property under section 362 of this title [11 USCS § 362], from the use, sale, or lease of such property under section 363 of this title [11 USCS § 363], or from the granting of a lien under section 364(d) of this title [11 USCS § 364(d)], then such creditor's claim under such subsection shall have priority over every other claim allowable under such subsection.

(c) For the purpose of subsection (a) of this section, a claim of a governmental unit arising from an erroneous refund or credit of a tax has the same priority as a claim for the tax to which such refund or credit relates.

(d) An entity that is subrogated to the rights of a holder of a claim of a kind specified in subsection (a)(1), (a)(4), (a)(5), (a)(6), (a)(7), (a)(8), or (a)(9) of this section is not subrogated to the right of the holder of such claim to priority under such subsection.

APPENDIX N

28 U.S.C. § 586. Duties; supervision by Attorney General

(a) Each United States trustee, within the region for which such United States trustee is appointed, shall--

(1) establish, maintain, and supervise a panel of private trustees that are eligible and available to serve as trustees in cases under chapter 7 of title 11 [11 USCS §§ 701 et seq.];

(2) serve as and perform the duties of a trustee in a case under title 11 when required under title 11 to serve as trustee in such a case;

(3) supervise the administration of cases and trustees in cases under chapter 7, 11, 12, 13, or 15 of title 11 [11 USCS §§ 701 et seq., 1101 et seq., 1201 et seq., 1301 et seq., or 1501 et seq.] by, whenever the United States trustee considers it to be appropriate--

(A)

(i) reviewing, in accordance with procedural guidelines adopted by the Executive Office of the United States Trustee (which guidelines shall be applied uniformly by the United States trustee except when circumstances warrant different treatment), applications filed for compensation and reimbursement under section 330 of title 11; and

(ii) filing with the court comments with respect to such application and, if the United States Trustee considers it to be appropriate, objections to such application;

(B) monitoring plans and disclosure statements filed in cases under chapter 11 of title 11 [11 USCS §§ 1101 et seq.] and filing with the court, in connection with hearings under sections 1125 and 1128 of such title, comments with respect to such plans and disclosure statements;

(C) monitoring plans filed under chapters 12 and 13 of title 11 [11 USCS §§ 1201 et seq., 1301 et seq.] and filing with the court, in connection with hearings under sections 1224, 1229, 1324, and 1329 of such title [11 USCS §§ 1224, 1229, 1324, and 1329], comments with respect to such plans;

(D) taking such action as the United States trustee deems to be appropriate to ensure that all reports, schedules, and fees required to be filed under title 11 and this title by the debtor are properly and timely filed;

(E) monitoring creditors' committees appointed under title 11;

(F) notifying the appropriate United States attorney of matters which relate to the occurrence of any action which may constitute a crime under the laws of the United States and, on the request of the United States attorney, assisting the United States attorney in carrying out prosecutions based on such action;

(G) monitoring the progress of cases under title 11 and taking such actions as the United States trustee deems to be appropriate to prevent undue delay in such progress;
(H) in small business cases (as defined in section 101 of title 11 [11 USCS § 101]), performing the additional duties specified in title 11 pertaining to such cases; and

(I) monitoring applications filed under section 327 of title 11 [11 USCS § 327] and, whenever the United States trustee deems it to be appropriate, filing with the court comments with respect to the approval of such applications;

(4) deposit or invest under section 345 of title 11 money received as trustee in cases under title 11;

(5) perform the duties prescribed for the United States trustee under title 11 and this title, and such duties consistent with title 11 and this title as the Attorney General may prescribe;

(6) make such reports as the Attorney General directs, including the results of audits performed under section 603(a) of the Bankruptcy Abuse Prevention and Consumer Protection Act of 2005 [note to this section];

(7) in each of such small business cases--

(A) conduct an initial debtor interview as soon as practicable after the date of the order for relief but before the first meeting scheduled under section 341(a) of title 11 [11 USCS § 341(a)], at which time the United States trustee shall--

(i) begin to investigate the debtor's viability;

(ii) inquire about the debtor's business plan;

(iii) explain the debtor's obligations to file monthly operating reports and other required reports;

(iv) attempt to develop an agreed scheduling order; and

(v) inform the debtor of other obligations;

(B) if determined to be appropriate and advisable, visit the appropriate business premises of the debtor, ascertain the state of the debtor's books and records, and verify that the debtor has filed its tax returns; and

(C) review and monitor diligently the debtor's activities, to determine as promptly as possible whether the debtor will be unable to confirm a plan; and

(8) in any case in which the United States trustee finds material grounds for any relief under section 1112 of title 11, apply promptly after making that finding to the court for relief.

(b) If the number of cases under chapter 12 or 13 of title 11 [11 USCS §§ 1201 et seq. or 1301 et seq.] commenced in a particular region so warrants, the United States trustee for such region may, subject to the approval of the Attorney General, appoint one or more individuals to serve as standing trustee, or designate one or more assistant United States trustees to serve in cases under such chapter. The United States trustee for such region shall supervise any such individual appointed as standing trustee in the performance of the duties of standing trustee.

(c) Each United States trustee shall be under the general supervision of the Attorney General, who shall provide general coordination and assistance to the United States trustees.

(d)

(1) The Attorney General shall prescribe by rule qualifications for membership on the panels established by United States trustees under paragraph (a)(1) of this section, and qualifications for appointment under subsection (b) of this section to serve as standing trustee in cases under chapter 12 or 13 of title 11 [11 USCS §§ 1201 et seq. or 1301 et seq.]. The Attorney General may not require that an individual be an attorney in order to qualify for appointment under subsection (b) of this section to serve as standing trustee in cases under chapter 12 or 13 of title 11 [11 USCS §§ 1201 et seq. or 1301 et seq.].

(2) A trustee whose appointment under subsection (a)(1) or under subsection (b) is terminated or who ceases to be assigned to cases filed under title 11, United States Code, may obtain judicial review of the final agency decision by commencing an action in the district court of the United States for the district for which the panel to which the trustee is appointed under subsection (a)(1), or in the district court of the United States for the district in which the trustee is appointed under subsection (b) resides, after first exhausting all available administrative remedies, which if the trustee so elects, shall also include an administrative hearing on the record. Unless the trustee elects to have an administrative hearing on the record, the trustee shall be deemed to have exhausted all administrative remedies for purposes of this paragraph if the agency fails to make a final agency decision within 90 days after the trustee requests administrative remedies. The Attorney General shall prescribe procedures to implement this paragraph. The decision of the

agency shall be affirmed by the district court unless it is unreasonable and without cause based on the administrative record before the agency.
(e)

(1) The Attorney General, after consultation with a United States trustee that has appointed an individual under subsection (b) of this section to serve as standing trustee in cases under chapter 12 or 13 of title 11 [11 USCS §§ 1201et seq. or 1301 et seq.], shall fix--

(A) a maximum annual compensation for such individual consisting of--

(i) an amount not to exceed the highest annual rate of basic pay in effect for level V of the Executive Schedule; and

(ii) the cash value of employment benefits comparable to the employment benefits provided by the United States to individuals who are employed by the United States at the same rate of basic pay to perform similar services during the same period of time; and

(B) a percentage fee not to exceed--

(i) in the case of a debtor who is not a family farmer, ten percent; or

(ii) in the case of a debtor who is a family farmer, the sum of--

(I) not to exceed ten percent of the payments made under the plan of such debtor, with respect to payments in an aggregate amount not to exceed $ 450,000; and

(II) three percent of payments made under the plan of such debtor, with respect to payments made after the aggregate amount of payments made under the plan exceeds $ 450,000;
based on such maximum annual compensation and the actual, necessary expenses incurred by such individual as standing trustee.

(2) Such individual shall collect such percentage fee from all payments received by such individual under plans in the cases under chapter 12 or 13 of title 11 [11 USCS §§ 1201 et seq. or 1301 et seq.] for which such individual serves as standing trustee. Such individual shall pay to the United States trustee, and the United States trustee shall deposit in the United States Trustee System Fund--

(A) any amount by which the actual compensation of such individual exceeds 5 per centum upon all payments received under plans in cases under chapter 12 or 13 of title 11 [11 USCS §§ 1201 et seq. or 1301 et seq.] for which such individual serves as standing trustee; and

(B) any amount by which the percentage for all such cases exceeds--

(i) such individual's actual compensation for such cases, as adjusted under subparagraph (A) of paragraph (1); plus

(ii) the actual, necessary expenses incurred by such individual as standing trustee in such cases. Subject to the approval of the Attorney General, any or all of the interest earned from the deposit of payments under plans by such individual may be utilized to pay actual, necessary expenses without regard to the percentage limitation contained in subparagraph (d)(1)(B) of this section.

(3) After first exhausting all available administrative remedies, an individual appointed under subsection (b) may obtain judicial review of final agency action to deny a claim of actual, necessary expenses under this subsection by commencing an action in the district court of the United States for the district where the individual resides. The decision of the agency shall be affirmed by the district court unless it is unreasonable and without cause based upon the administrative record before the agency.

(4) The Attorney General shall prescribe procedures to implement this subsection.
(f)

(1) The United States trustee for each district is authorized to contract with auditors to perform audits in cases designated by the United States trustee, in accordance with the procedures established under section 603(a) of the Bankruptcy Abuse Prevention and Consumer Protection Act of 2005 [note to this section].

(2) (A) The report of each audit referred to in paragraph (1) shall be filed with the court and transmitted to the United States trustee. Each report shall clearly and conspicuously specify any material misstatement of income or expenditures or of assets identified by the person performing the audit. In any case in which a material misstatement of income or expenditures or of assets has been reported, the clerk of the district court (or the clerk of the bankruptcy court if one is certified under section 156(b) of this title [11 USCS § 156(b)]) shall give notice of the misstatement to the creditors in the case.

(B) If a material misstatement of income or expenditures or of assets is reported, the United States trustee shall--

(i) report the material misstatement, if appropriate, to the United States Attorney pursuant to section 3057 of title 18 [18 USCS § 3057]; and

(ii) advisable, take appropriate action, including but not limited to commencing an adversary proceeding to revoke the debtor's discharge pursuant to section 727(d) of title 11 [11 USCS § 727(d)].